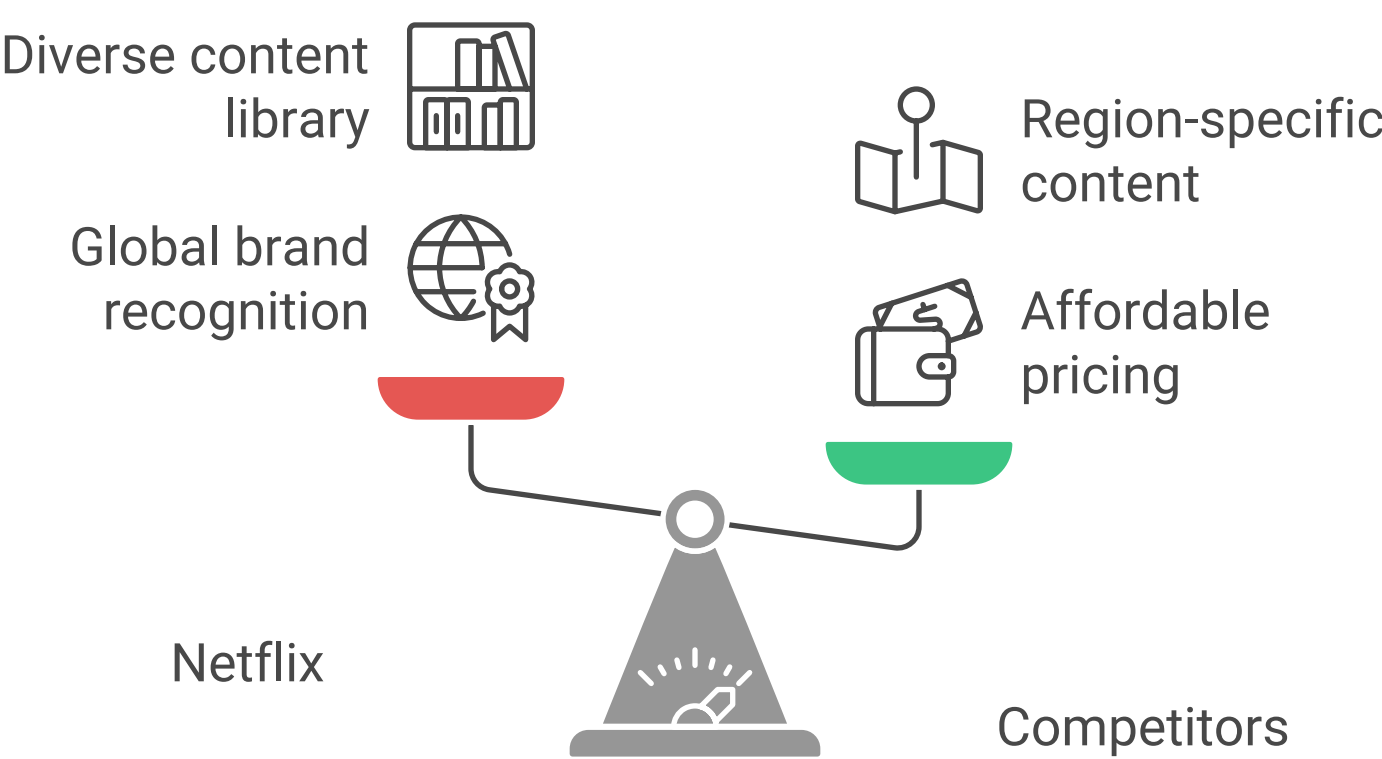


# Hands on Use case

## Case Study: Addressing Potential High Churn for Netflix in India

### Background:

Netflix is a leading global subscription-based streaming service that has expanded its operations into India. While India presents a significant growth opportunity due to its large population and increasing internet penetration, Netflix may be facing challenges related to **subscriber retention (churn)** in this price-sensitive and culturally diverse market. Competition from local and international streaming platforms offering more affordable plans and region-specific content could be contributing to a higher-than-desired churn rate after initial sign-ups or promotional periods.



### Balancing Global Appeal with Local Competitiveness

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### The Challenge:

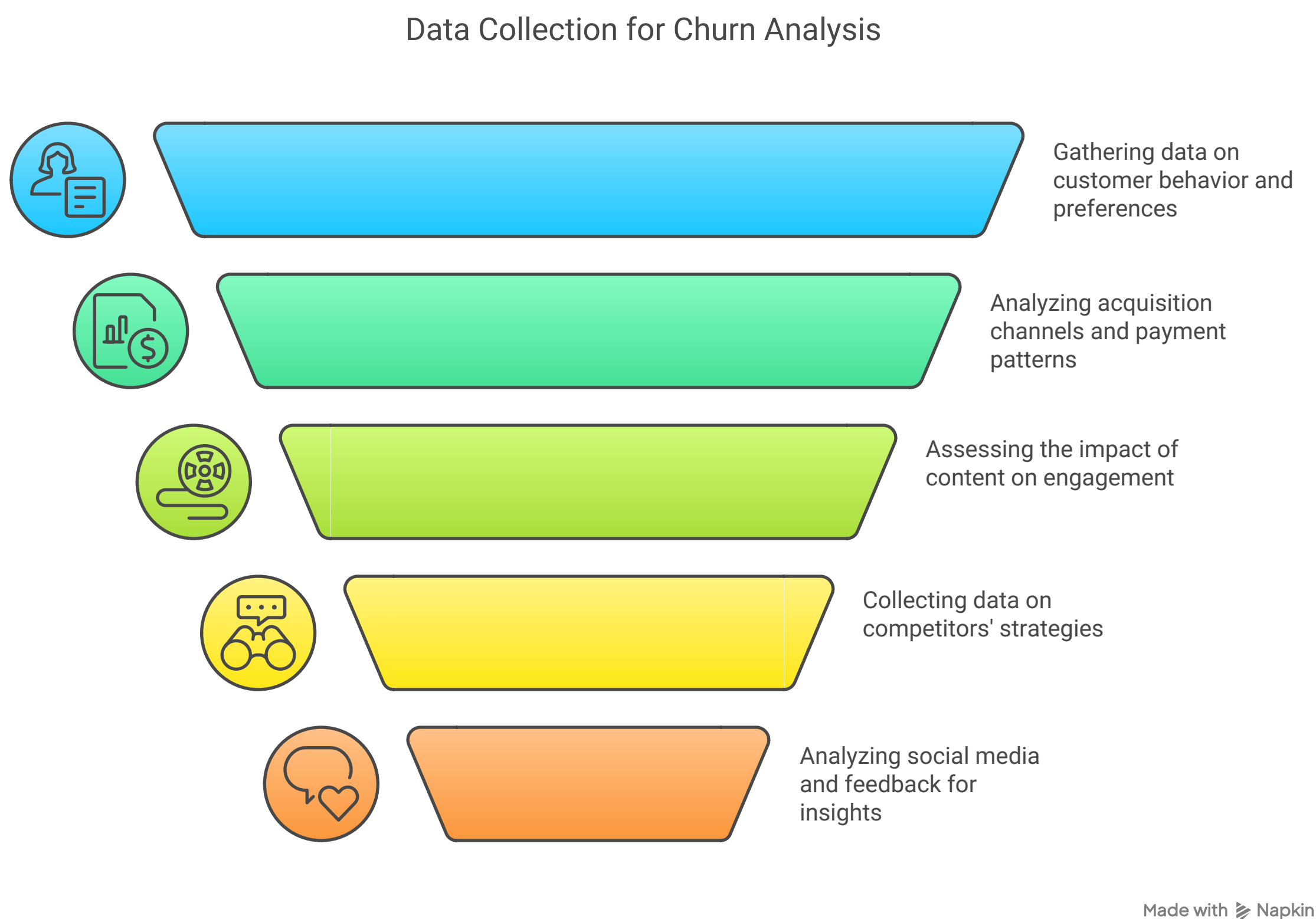
Netflix in India needs to **understand the reasons behind potential subscriber churn** and develop effective strategies to **improve customer retention** to achieve sustainable growth and market leadership.

### The Role of the Business Analyst:

A Business Analyst is brought in to analyze Netflix's situation in India and recommend data-driven solutions to enhance subscriber loyalty. Their approach would involve the following steps, aligning with the business analysis process outlined in the sources:

- **Understanding Business Goals:** The Business Analyst will collaborate with Netflix's India leadership to clearly define business objectives related to subscriber retention. This includes establishing target churn rates specific to the Indian market, understanding the financial implications of churn versus retention, and aligning retention strategies with overall growth and profitability targets for the region.
- **Data Requirements and Elicitation:** The Business Analyst will identify critical data points necessary to analyze churn in the Indian context. This data might include:
  - **Customer Data:** Subscription plans chosen, duration of subscription, viewing patterns (genres, languages, frequency, peak viewing times), device usage, content completion rates, interaction with customer support (language of interaction), participation in localized promotions, demographic information relevant to India (e.g., region, language preference).
  - **Sales and Billing Data:** Acquisition channels (e.g., direct sign-up, bundled offers with telecom providers), payment methods, billing cycles, reasons for cancellation (if provided by users).

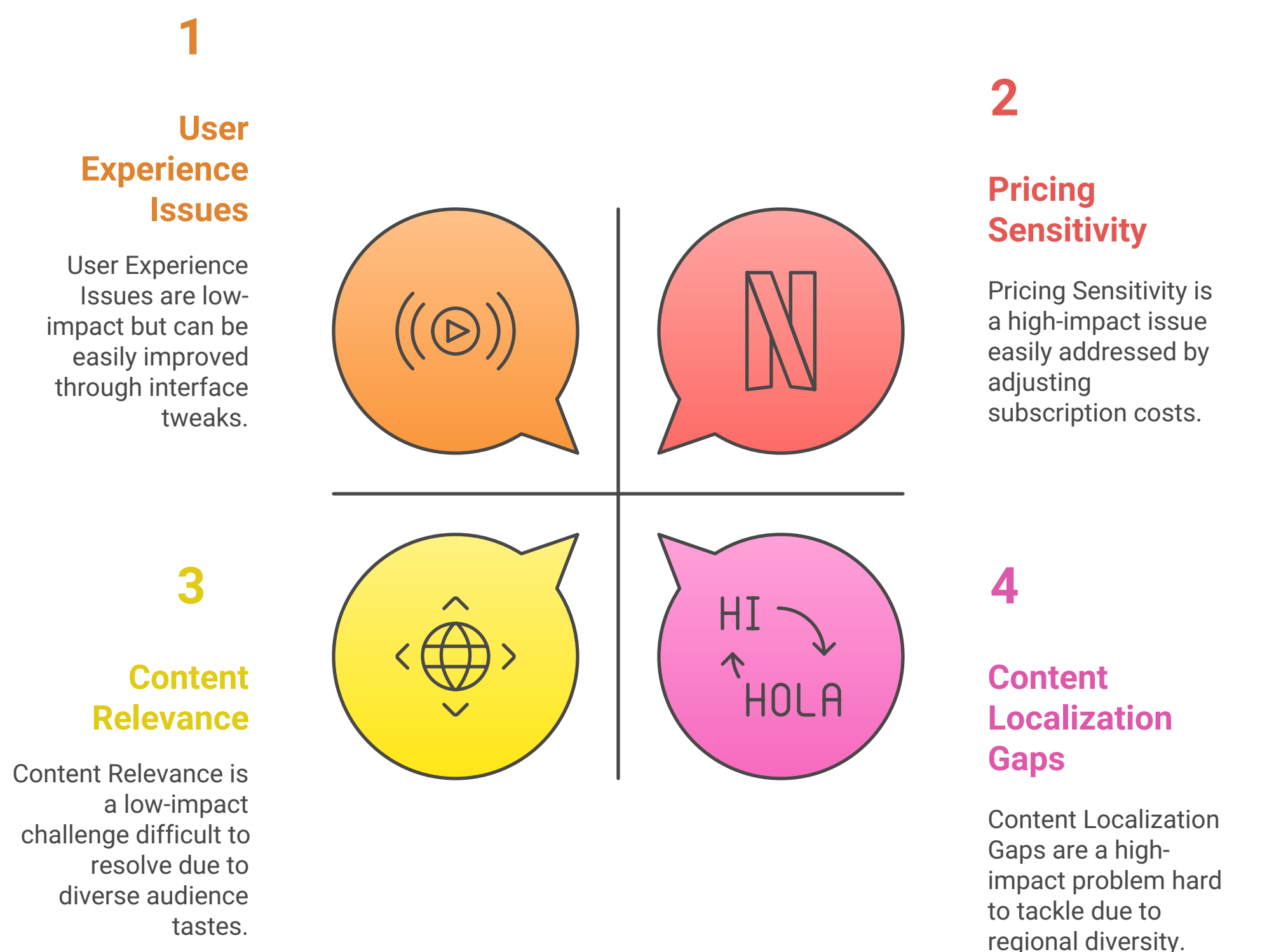
- **Content Data:** Performance of localized content versus international content, popularity of different genres and languages, impact of new content releases on subscriber engagement.
- **Competitor Data:** Pricing models of competing streaming services in India, their content libraries (especially regional content), subscriber base and growth, promotional strategies, customer reviews and sentiment (as Narayan aimed to gather competitor data for Anuj).
- **Social Media and Customer Feedback:** Analysis of social media discussions, online reviews, and customer support interactions in the Indian context to identify recurring themes, pain points, and content preferences. This aligns with the types of data Narayan noted as important. The Business Analyst will then work with Netflix to access and gather this data, acknowledging potential challenges in data availability and format, similar to the initial situation faced by Narayan. They will employ **requirements gathering** techniques to ensure all relevant data points are identified and sourced.



- **Data Analysis to Uncover Insights:** Using **data analysis** techniques and tools, the Business Analyst will analyze the collected data to identify patterns and correlations related to churn among Indian subscribers. This could involve:
  - Analyzing viewing habits based on subscription tier and pricing.
  - Identifying specific content (both local and international) that correlates with higher retention rates.
  - Examining the drop-off points in subscription duration.
  - Segmenting subscribers based on their content consumption patterns, language preferences, and regional demographics to identify high-churn segments.
- Analyzing customer support interactions to understand common complaints or issues specific to the Indian market (e.g., language support, billing issues, content availability).

- **Identifying Problems and Root Causes:** Based on the data analysis, the Business Analyst will work to pinpoint the underlying reasons for potential high churn rates in India. These could include:
  - **Pricing Sensitivity:** Netflix's pricing might be perceived as high compared to competitors offering more affordable, mobile-only plans or region-specific packages.
  - **Content Localization Gaps:** Insufficient quantity or variety of high-quality local language content that resonates with diverse regional preferences.
  - **Competition:** Strong competition from platforms with extensive libraries of Indian movies and shows.
  - **Content Relevance:** International content might not consistently appeal to the majority of the Indian audience.
  - **User Experience Issues:** Potential issues with the user interface or streaming quality on devices commonly used in India.
  - **Lack of Personalized Recommendations:** Recommendation algorithms might not be effectively catering to the diverse linguistic and cultural preferences within India. This is an area where **Machine Learning algorithms** could play a significant role.

## Factors Influencing Netflix Churn in India

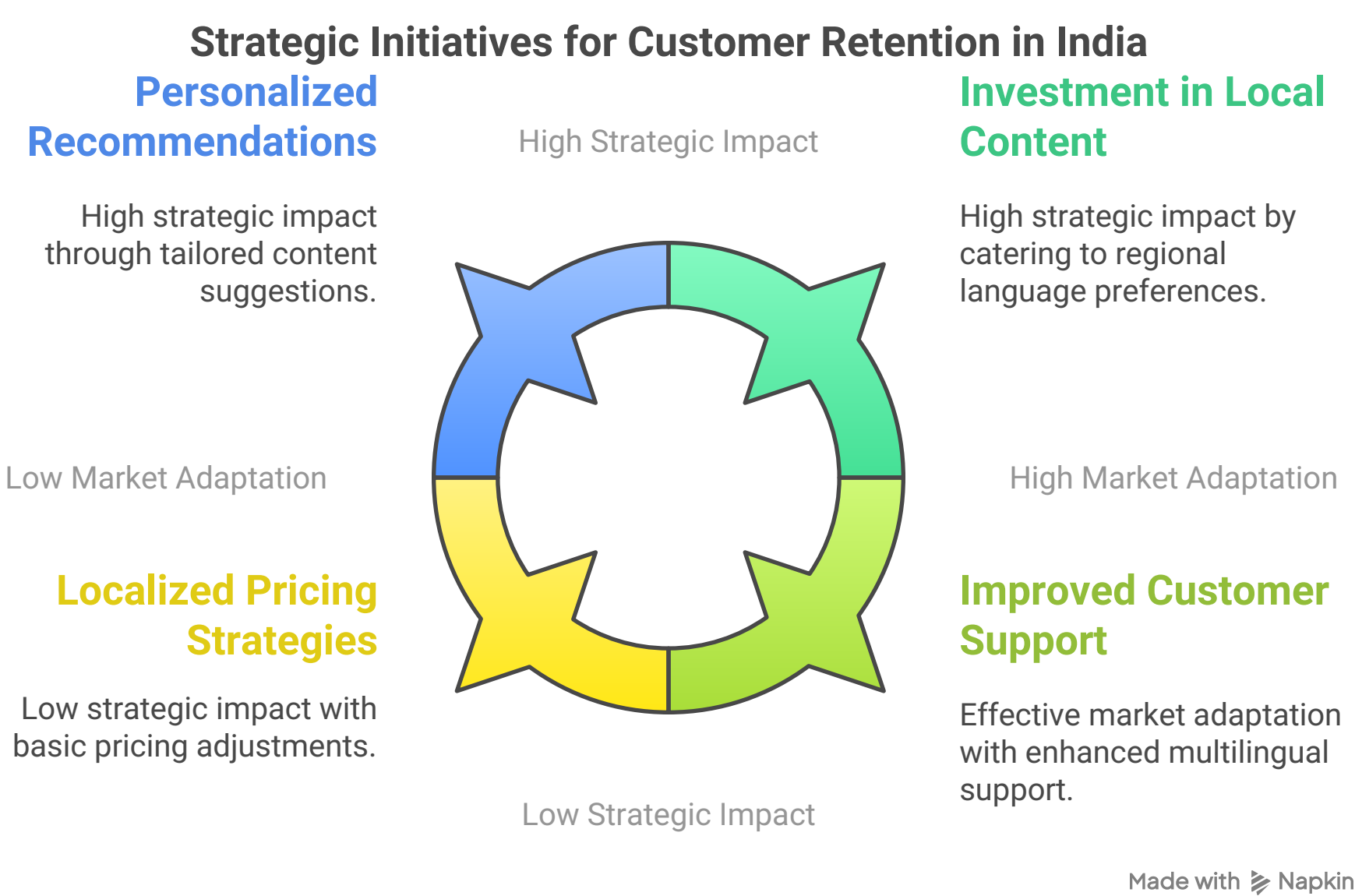


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- **Recommending Solutions:** Following the principle of recommending solutions aligned with business objectives, the Business Analyst will propose data-driven strategies to improve customer retention in India. These could include:
  - **Localized Pricing Strategies:** Exploring more flexible and potentially lower-priced subscription tiers tailored to the Indian market, possibly including mobile-only plans.



- **Investment in Local Content:** Significantly increasing the production and acquisition of high-quality movies, series, and documentaries in various Indian languages to cater to regional tastes.
- **Enhanced Content Discovery:** Improving the discoverability of local content within the platform through better categorization, tagging, and recommendations.
- **Personalized Recommendations:** Implementing and refining recommendation algorithms to better understand and cater to the diverse linguistic and content preferences of Indian subscribers, drawing on concepts related to **AI in Marketing**.
- **Partnerships and Bundling:** Collaborating with telecom providers or other local businesses to offer bundled subscriptions or special offers.
- **Improved Customer Support:** Enhancing customer support in various Indian languages to address user queries and issues more effectively.
- **Community Building and Engagement:** Creating initiatives to foster a sense of community among Indian viewers around specific content or genres.



- **Process Improvement:** The Business Analyst might also recommend establishing processes for continuous monitoring of churn rates and customer feedback specific to the Indian market, as well as regular analysis of competitor activities.
- **Stakeholder Management:** Throughout the engagement, the Business Analyst will **communicate clearly and effectively** with various teams within Netflix (content acquisition, marketing, product development, customer support) to share findings, facilitate discussions, and ensure alignment on the proposed retention strategies.
- **Solution Evaluation and Monitoring:** After implementing the recommended solutions, the Business Analyst will help define key performance indicators (KPIs) to **evaluate the effectiveness** of these initiatives in reducing churn and improving subscriber satisfaction in India. They will also establish a framework for ongoing monitoring and data analysis to enable continuous improvement.

This use case allows for the application of core business analysis skills in a specific market context, highlighting the importance of understanding local nuances and leveraging data to address business challenges like customer churn. It also provides opportunities to consider how AI-powered personalization could be further explored to enhance customer retention.